

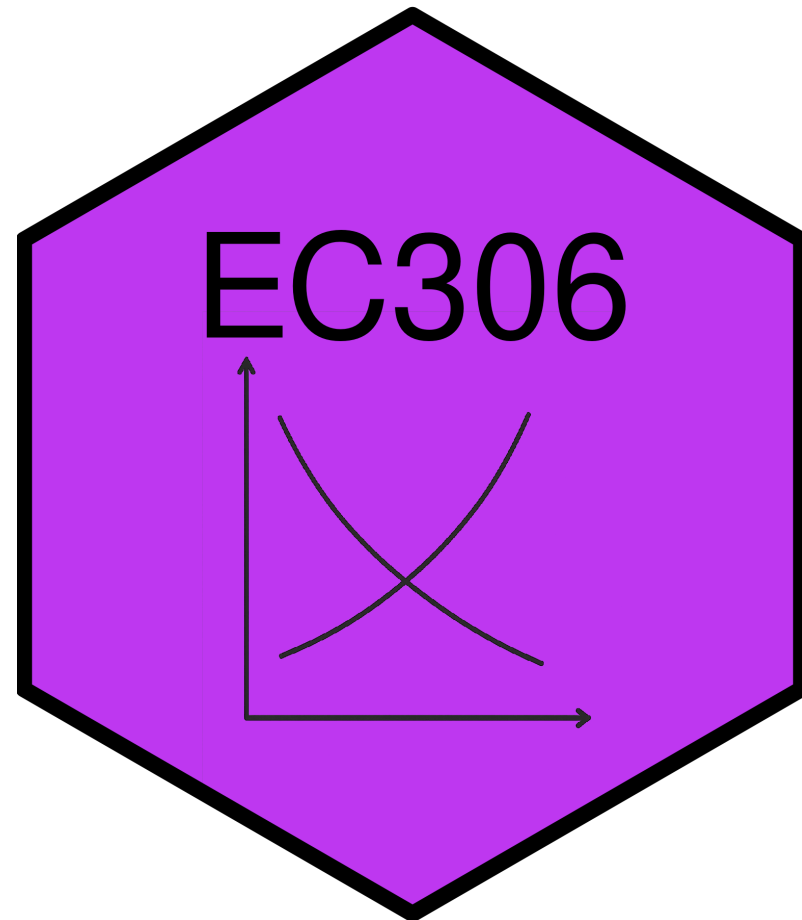
Labour Demand in Global Markets

EC306- Wages and Employment

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Goals of This Section

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In this section we will:

- Understand the impact of free trade and international competition on the Canadian labour market
- Analyze the effect of trade on a single labour market
- Consider the cross-sectoral impact of trade
- Examine the evidence on trade and labour demand

Globalization and Offshoring

Introduction

Over time Canadian firms have faced increasing globalization

Has led to concerns over what happens to Canadian workers:

- People worry firms will move operations to countries with lower wages
- That this will destroy Canadian jobs
- Clear concern in the USA right now

Note

Effect of globalization on jobs is always a concern when trade agreements are reached — manufacturing is especially prominent, with automotive industry currently a focus

Effect of Trade on Single Market

Consider global competition with a specific product

Increased global competition lowers the price a product can sell for globally

In a competitive market, this reduces the value of the marginal product:

- Recall that $VMP = p \times MP_N$
- Shifts demand for Canadian labour inward

Effect of Trade on Single Market

Another approach: consider Canadian and foreign labour as two inputs to production

The optimal choice of Canadian and foreign labour occurs where:

$$\frac{MP_{N_C}}{MP_{N_F}} = \frac{w_C}{w_F}$$

The marginal product per dollar spent on foreign and Canadian workers are the same

Effect of Trade on Single Market

What effect does a fall in foreign wages have on Canadian labour demand?

Two effects occur:

- **Substitution effect:** firms substitute foreign workers for Canadian workers
 - Reduces demand for Canadian workers
- **Scale effect:** lower costs lead to more production
 - Increases demand for Canadian workers

Overall Effect is Ambiguous

- If close substitutes, substitution effect dominates → less Canadian labour demanded
- If scale effect dominates → could be more Canadian labour demanded

Effect of Trade on Single Market

! Cost is Not the Only Factor

Productivity is also important — if Canadian workers are more productive, firms will still want to hire them

How productive are Canadian workers compared to foreign workers?

Next slides show international comparisons for OECD countries:

- Productivity, compensation, unit labour costs
- Changes over time

Effect of Trade on Single Market

TABLE 5.1 Productivity,¹ 2000, and Changes in Productivity, Hourly Compensation,² and Unit Labour Costs,³ 2000–2018 (various OECD Countries)

Country	Productivity in 2000 (as % of Canada)	% Change in Productivity	% Change in Compensation	% Change in Unit Labour Costs
Korea	45	99	32	–23
Mexico	46	2	–44	
New Zealand	79	21	76	42
Japan	87	20	–38	–48
Australia	99	24	45	22
Canada	100	18	16	1
Spain	102	17	18	–1
United Kingdom	111	18	–5	–18
Finland	116	20	24	5
Italy	119	1	14	13
Sweden	121	28	17	–7
United States	123	30	2	–19
Germany	126	19	9	–6
France	129	18	19	6
Netherlands	135	15	19	3
Denmark	135	22	33	10
Switzerland	136	19	40	19
Belgium	143	14	21	5
Norway	164	16	46	27
Average	111	22	18	2

NOTES:

1. Output per hour. In descending order, from high to low, in terms of 2000 productivity

2. Defined as the sum of gross wages and salaries and employers' social security contributions. All figures are on an hours-worked basis and are exchange-rate-adjusted and therefore reflect exchange rates and compensation costs expressed in home country currency.

3. Hourly compensation per unit of output (i.e., adjusted for productivity).

SOURCE: Author's calculations based on Organisation for Economic Co-operation and Development, "OECD Productivity Statistics". Available online, accessed August 2020, <https://www.oecd.org/sdd/productivity-stats/>.



Effect of Trade on Single Market



FIGURE 5.8 Relative Trends in Labour Costs and Productivity: Canada Relative to the United States (base year 1989)

This figure shows relative trends in productivity and labour costs in Canada and the United States. Each point shows the ratio of a cost (or productivity) index in Canada to that in the United States, with 1989 as the base year. For example, in 2012 unit labour costs were 25 percent higher in Canada than in 1989, compared to the United States. Note that these figures do not compare the levels of costs between Canada and the United States, only their trends (relative to 1989).

NOTES: Points represent the relative value of indices of Canadian to U.S. labour costs and productivity (as defined in the notes in Table 5.1). The base year is 1989 (index = 100 for both Canada and the United States).

SOURCE: Author's calculations based on Organisation for Economic Co-operation and Development, "OECD Productivity Statistics". Available online, accessed August 2020, <https://www.oecd.org/sdd/productivity-stats/>.

Effect of Trade Across Sectors

Single Sector Misses Key Points

Trade openness affects the entire economy with adjustments across sectors

Recall from EC120: countries specialize in production of goods where they have comparative advantage

- Expands consumption possibilities

In a globalized market:

- Countries allocate more resources towards their comparative advantage sectors
- Labour moves from non-comparative advantage sectors to comparative advantage sectors

Evidence on Trade and Labour Demand

Many trade agreements with other countries

Most prominent in Canada: NAFTA and more recently CUSMA

These present opportunities to study effects of trade on labour demand

Evidence Shows

- About 10% of Canadian jobs lost in early 90s were due to free trade
- Productivity grew faster in manufacturing industries affected by trade

Non-Trade Demand Factors

At the same time trade is changing, the Canadian labour market is changing:

- Jobs have shifted away from manufacturing over long term
- Professional, managerial, and administrative service jobs have been increasing
- Flex or “gig” jobs have been increasing

All changing for various reasons:

- Technology
- Consumer preferences
- Demographics

Think About It

Suppose a Canadian auto parts manufacturer faces a drop in wages in Mexico. Under what conditions would this actually *increase* demand for Canadian auto workers rather than decrease it?

Summary

Summary

Trade and labour demand:

- Trade shifts labour demand, but the direction differs by sector
- A single-market analysis misses the reallocation across sectors
- Cost is not the only factor driving offshoring decisions
- The evidence finds effects concentrated in trade-exposed industries